August 4, 2026 08:06 PM GMT

DigitalOcean Holdings Inc | North America

2Q26 Results: Larger Commitments + More Capacity Fuel a Multiyear Acceleration Story

AlphaSignals Earnings Reaction

Strengthens our thesis	— In-line	↑ Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

While 2Q rev growth of +29% was inline w/pre-announce, we think the business has gotten stronger given record/ARR and bookings which include 9-figure commitments. With upside to 2027 likely, margins remaining healthy and FCF +ve, we remain OW w/$175 PT.

Key Takeaways

- 2Q26 revenue growth of +29% was inline with positive pre-announcement on July 7 while FY26 rev growth guidance raised to +30-31% from +25-27% prior
- A key highlight was the bookings performance in 2Q which saw $650+/~$200 million increase in RPO/cRPO fueled by multiple 9-figure annual commitments
- Furthermore, the company has secured an additional 20 MW of capacity bringing the total to 155 MW - the vast majority of which should come online in 2027
- Lack of update to 2027 growth forecast despite more secured MW capacity reflects prudence around when data center implementations will be completed
- Remain OW w/$175 PT as accelerating growth story continues with likely upside to 2027 combined with healthy margins and positive FCF

Strong 2Q Results Generally Inline With Pre-Announce. Revenue growth accelerated to +29% from +22% in 1Q and was consistent with the pre-announcement on July 7. EBITDA margin fared even better coming in at 40% versus consensus and the high end of guidance at 38%. Looking ahead, the trendline of growth acceleration is expected to continue with 3Q revenue guidance calling for YoY growth of +32-34% (vs cons. of +30.5%) and management now expecting to exit 2026 growing in excess of 35%+ (vs. ~30% previously). Taken together, updated FY26 revenue guidance now targets growth of +30-31% which is up from +25-27% previously.

Executing on Committed MW Capacity. Entering 2026, management highlighted that it had secured 76 MW of committed capacity of which 31 MW would come

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DigitalOcean Holdings Inc (DOCN.N, DOCN UN)

Software | United States of America

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**$175.00**
Shr price, close (Aug 3, 2026)	$127.17
Mkt cap, curr (mm)	$17,254
52-Week Range	$187.20-25.59

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS ($)**	2.13	1.37	2.19	3.07
Prior EPS ($)**	-	1.20	2.12	2.97
P/E	21.9	193.4	92.0	57.1
EPS ($)§	2.05	1.25	1.75	3.00
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.56	-	0.42a	0.52	0.44
Q2	0.59	-	0.45a	0.45	0.59
Q3	0.54	0.28	0.29	0.54	0.56
Q4	0.43	0.29	0.23	0.62	0.61

e = Morgan Stanley Research estimates, a = Actual Company reported data

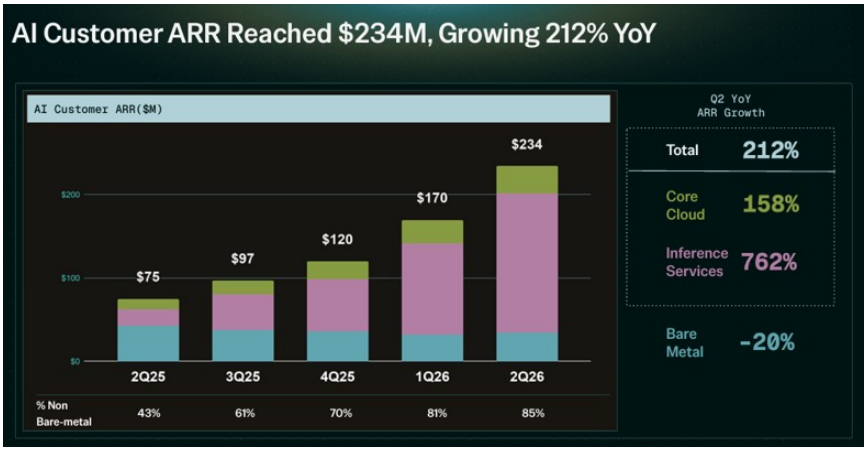
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online in 2026 (6 MW in 2Q and the remainder in 2H). On the 1Q call, the company announced that it had secured 60 MW of additional data center capacity that would ramp through 2027. On the 2Q26 call this morning (and the earlier pre-announce), management noted that it had secured an additional 20 MW in capacity that is expected to come online starting in late 2027 and into early 2028. In aggregate, DigitalOcean has now secured 155 MW of data center capacity the vast majority of which is expected to be available in 2027. Beyond securing incremental capacity, the company is executing well on bringing that capacity online as management noted that it is ahead of schedule on 3 new data center rollouts for 2026. This includes a Richmond data center in 1Q, a Kansas City data center in 2Q, and a planned Memphis data center launch in 2H26.

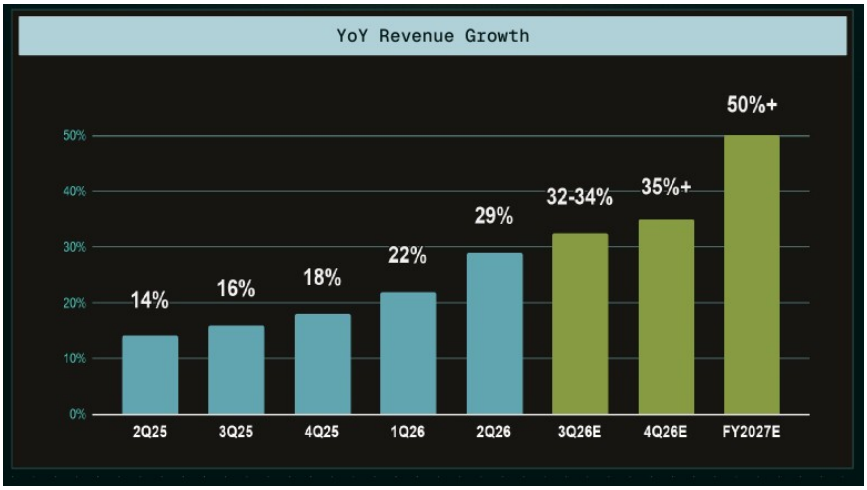
Reiterate OW Based on Impressive Bookings Momentum and Increased MW Capacity. In pre-market trading, shares traded down -5% to -8% largely due to lack of a material upward revision to 2027 growth expectations despite an incremental 20 MW of capacity coming online in late 2027 and into early 2028. Management still expects growth to accelerate to 50%+ in 2027. CFO Matt Steinfort explained that it was too early to provide an update on 2027 growth given uncertainty on the timing of data center implementations and the resulting capacity coming online. We think this makes sense and is appropriately prudent even as it is clear to us that the business has gotten stronger over the last 90 days as evidenced by: 1) a record $93 million in incremental ARR added in 2Q (+191% YoY), 2) a record $64 million in incremental AI ARR added (+190% YoY) resulting in $234 million in AI ARR, 3) the securing of multiple nine-figure annual customer commitments for inference and cloud products, 4) a $651 million QoQ increase in RPO resulting in RPO of $894 million, up 12x YoY and 5) a $199 million QoQ increase in cRPO resulting in cRPO of $366 million.

Exhibit 1: AI ARR Grew 212% YoY to $234 Million Fueled By Growth in Inference Services



Source: Company data, Morgan Stanley Research

Exhibit 2: Revenue Guidance Calls for +32-34% Growth in 3Q26, 35%+ in 4Q26 and 50%+ in 2027



Source: Company data, Morgan Stanley Research

Risk Reward – DigitalOcean Holdings Inc (DOCN.N)

Robust Demand + Incremental Capacity + Strategic Position Drives Acceleration

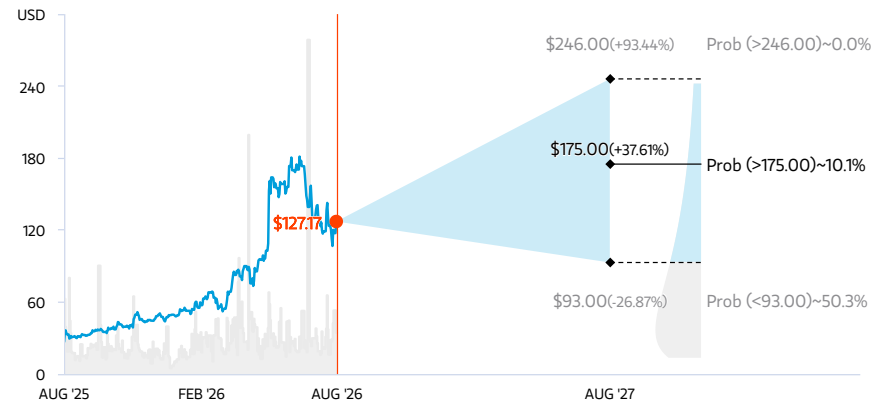
PRICE TARGET $175.00

$175 PT is based on 22x $998MM CY28 EBITDA. 22x EBITDA is a modest premium to the current forward average multiple across software. This implies 9x CY28 sales or 0.21x EV/S/G, a discount to the SMID median at 0.29x.

Consensus Price Target Distribution $84.33 — $170.69 (Mean) — MS PT $200.00 (Morgan Stanley Estimates)

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 3 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

DigitalOcean's AI strategy from day one has been to focus on Agentic and Inference workloads - as a result, its AI stack and Inference Cloud is well positioned to benefit from robust demand. As the company brings online more capacity, growth accelerates, attracting Digital Native Enterprises and larger customers with strong unit economics. Taking a small share in a large market can multiple DigitalOcean's business in the medium-term, a prospect not fully reflected in shares.

Consensus Rating Distribution

82%	Overweight
18%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $246.00

Pure Play Exposed to Strong Secular Trends

Rev grows to ~$2.9 billion in 2028. EBITDA margins reach 43% in 2028, driving 23% FCF margin. We apply a 25x EV/CY28 EBITDA multiple to reach our $246 bull case valuation, a warranted premium vs current forward average multiple across software. $246 implies 11x CY28 sales or 0.21x EV/S/G, a discount to the SMID median at 0.29x.

BASE CASE $175.00

Accelerating Growth Continues

Rev grows to ~$2.42 billion in 2028. EBITDA margins reach 41% in 2028, driving 20% FCF margin. We apply a 22x EV/CY28 EBITDA multiple to reach our $175 price target, a modest premium to the current forward average multiple across software to account for the growth profile. $175 implies 9x CY28 sales or 0.21x EV/S/G, a discount to the SMID median at 0.29x.

BEAR CASE $93.00

Competition in Tougher Environment Weigh on Growth

Rev grows to ~$2.2 billion in 2028. EBITDA margins reach 40% in 2028, driving only 16% FCF margin. We apply a 14x EV/CY28 EBITDA multiple to reach our $93 bear case valuation, a warranted discount vs current forward average multiple across software. $93 implies 5.4x CY28 sales or 0.14x EV/S/G, a discount to the SMID median at 0.29x.

Risk Reward – DigitalOcean Holdings Inc (DOCN.N)

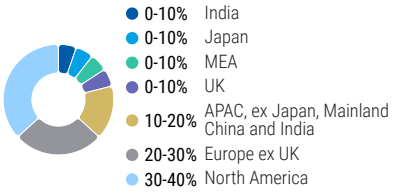
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Revenue Growth (%)	15.5	30.3	51.1	36.3
Total Customer Count Growth (%)	0.0	5.8	10.1	0.0
Dollar-based Net Retention Rate (%)	99.8	102.2	103.0	103.0
Operating Margin (%)	28.6	19.3	20.2	20.9
Free Cash Flow Margin (%)	18.6	12.0	18.3	19.6

INVESTMENT DRIVERS

1) New customer additions, 2) average monthly net ARPU, 3) dollar-based net expansion rate, 4) capex spend as % of revenue.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

More Capacity. Higher GPU/CPU Pricing. Lower Churn / Increased Migration of Workloads from Other Clouds.

RISKS TO DOWNSIDE

Competition. Supply & Demand for AI balance. Higher capital intensity weighs on cash flow and margins.

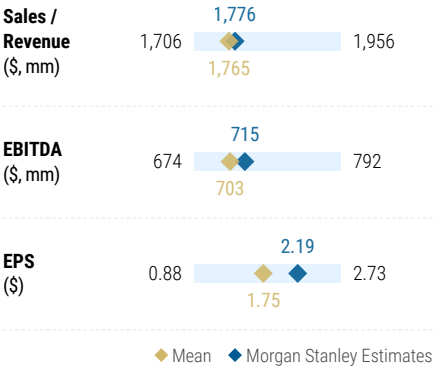
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.9%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 3: Model Changes

DigitalOcean Model Changes	FY24	FY25	1Q26	2Q26	3Q26E	4Q26E	FY26E	FY27E	FY28E
ARR	**819.7**	**969.6**	**1031.6**	**1124.7**	**1228.1**	**1315.5**	**1315.5**	**2139.4**	**2696.5**
YoY	13.3%	18.3%	22.4%	28.6%	33.7%	35.7%	35.7%	62.6%	26.0%
Prior ARR	**819.7**	**969.6**	**1031.6**	**1092.4**	**1178.5**	**1268.9**	**1268.9**	**2062.4**	**2595.5**
YoY	13.3%	18.3%	22.4%	24.9%	28.3%	30.9%	30.9%	62.5%	25.9%
% Change	-	-	-	**3.0%**	**4.2%**	**3.7%**	**3.7%**	**3.7%**	**3.9%**
Net New ARR	**96.2**	**149.9**	**62.1**	**93.1**	**103.4**	**87.4**	**346.0**	**823.8**	**557.1**
YoY		55.8%	168.5%	191.1%	136.4%	71.3%	130.9%	138.1%	-32.4%
Prior Net New ARR	**96.2**	**149.9**	**62.1**	**60.8**	**86.1**	**90.4**	**299.3**	**793.5**	**533.2**
YoY		55.8%	168.5%	90.0%	96.9%	77.1%	99.7%	165.1%	-32.8%
% Change	-	-	-	**53.2%**	**20.1%**	**(3.3%)**	**15.6%**	**3.8%**	**4.5%**
Total Revenue	**780.6**	**901.4**	**257.9**	**281.2**	**307.0**	**328.9**	**1175.0**	**1775.7**	**2420.0**
YoY	12.7%	15.5%	22.4%	28.6%	33.7%	35.7%	30.3%	51.1%	36.3%
Prev Model: Total Revenue	**780.6**	**901.4**	**257.9**	**273.1**	**294.6**	**317.2**	**1142.8**	**1724.9**	**2351.5**
YoY	12.7%	15.5%	22.4%	24.9%	28.3%	30.9%	26.8%	50.9%	36.3%
% Change	-	-	-	**3.0%**	**4.2%**	**3.7%**	**2.8%**	**2.9%**	**2.9%**
EBITDA	**328.5**	**374.8**	**104.6**	**113.6**	**118.4**	**121.9**	**458.3**	**714.6**	**998.8**
EBITDA Margin	42.1%	41.6%	40.5%	40.4%	38.5%	37.1%	39.0%	40.2%	41.3%
Prev Model: EBITDA	328.5	374.8	104.6	102.6	113.0	125.7	445.8	692.4	968.8
Prev Model: EBITDA Margin	42.1%	41.6%	40.5%	37.6%	38.3%	39.6%	39.0%	40.1%	41.2%
Margin change (bps)	**0**	**0**	**0**	**283**	**21**	**-257**	**0**	**10**	**7**
Non-GAAP EPS	**1.91**	**2.13**	**0.42**	**0.45**	**0.29**	**0.23**	**1.37**	**2.19**	**3.07**
Prev Model: Non-GAAP EPS	1.91	2.13	0.42	0.23	0.28	0.29	1.20	2.12	2.97
$ Change	-	-	-	**$0.23**	**$0.01**	**($0.06)**	**$0.17**	**$0.07**	**$0.11**
Free Cash Flow	**134.7**	**168.0**	**2.2**	**60.6**	**45.1**	**33.4**	**141.3**	**325.0**	**474.0**
FCF Margin	17.3%	18.6%	0.8%	21.5%	14.7%	10.2%	12.0%	18.3%	19.6%
Prev Model: Free Cash Flow	134.7	168.0	2.2	30.8	41.6	46.0	120.6	313.7	458.4
Prev Model: FCF Margin	17.3%	18.6%	0.8%	11.3%	14.1%	14.5%	10.6%	18.2%	19.5%
Margin change (bps)	**0**	**0**	**0**	**1,026**	**59**	**-436**	**147**	**12**	**9**

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Income Statement

($ millions, Except Per-Share Data)	FY21	FY22	FY23	FY24	FY25	Mar-26 1Q26	Jun-26 2Q26	Sep-26 3Q26E	Dec-26 4Q26E	FY26E	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	FY27E	FY28E
Total Revenue	**428.6**	**576.3**	**692.9**	**780.6**	**901.4**	**257.9**	**281.2**	**307.0**	**328.9**	**1,175.0**	**355.2**	**412.6**	**473.1**	**534.8**	**1,775.7**	**2,420.0**
Year over year % change	34.6%	34.5%	20.2%	12.7%	15.5%	22.4%	28.6%	33.7%	35.7%	30.3%	37.7%	46.7%	54.1%	62.6%	51.1%	36.3%
Quarter over quarter % change						6.4%	9.0%	9.2%	7.1%		8.0%	16.2%	14.7%	13.1%		
Cost of Revenue																
Total Cost of Revenue	87.5	139.0	275.2	289.9	344.7	108.9	121.5	149.1	157.9	537.3	149.0	177.2	228.6	256.2	811.1	1,095.7
Non-GAAP Gross Profit	**289.1**	**366.2**	**417.7**	**490.8**	**556.7**	**149.0**	**159.7**	**157.9**	**171.0**	**637.7**	**206.1**	**235.4**	**244.5**	**278.6**	**964.7**	**1,324.3**
Non-GAAP Gross Margin	**60.5%**	**63.5%**	**60.3%**	**62.9%**	**61.8%**	**57.8%**	**56.8%**	**51.4%**	**52.0%**	**54.3%**	**58.0%**	**57.1%**	**51.7%**	**52.1%**	**54.3%**	**54.7%**
Operating Expenses																
Sales & Marketing	42.4	66.1	52.0	55.6	62.4	16.9	18.5	21.7	26.9	84.1	28.6	29.5	30.4	35.7	124.2	169.0
Research & Development	92.4	104.5	95.5	106.2	126.7	38.4	41.9	46.5	56.5	183.3	58.3	61.4	68.0	82.0	269.8	364.8
General & Administration	73.9	115.4	141.4	108.0	110.3	29.7	31.8	38.0	43.4	143.0	46.2	48.8	54.6	62.6	212.2	285.2
Total Operating Expenses	208.7	286.1	288.9	269.9	299.3	85.0	92.3	106.2	126.8	410.3	133.1	139.7	153.1	180.3	606.1	819.1
Year over year % change	31%	37%	1%	(7%)	11%	19%	25%	49%	53%	37%	57%	51%	44%	42%	48%	35%
Operating Income	**51.8**	**103.0**	**170.7**	**220.9**	**257.4**	**64.0**	**67.5**	**51.7**	**44.2**	**227.3**	**73.1**	**95.7**	**91.4**	**98.3**	**358.5**	**505.2**
Operating Margin	**12.1%**	**17.9%**	**24.6%**	**28.3%**	**28.6%**	**24.8%**	**24.0%**	**16.8%**	**13.4%**	**19.3%**	**20.6%**	**23.2%**	**19.3%**	**18.4%**	**20.2%**	**20.9%**
Depreciation	88.4	102.2	117.9	130.1	137.4	45.5	51.2	66.7	77.7	241.0	66.2	70.9	100.4	118.6	356.1	493.6
One-Time Adjustments	(2.5)	(6.3)	(11.4)	(22.4)	(20.1)	(4.9)	(5.1)	-	-	(10.0)	-	-	-	-	-	-
EBITDA (Company-defined)	**137.7**	**198.9**	**277.2**	**328.5**	**374.8**	**104.6**	**113.6**	**118.4**	**121.9**	**458.3**	**139.2**	**166.7**	**191.8**	**216.9**	**714.6**	**998.8**
EBITDA Margin	32.1%	34.5%	40.0%	42.1%	41.6%	40.5%	40.4%	38.5%	37.1%	39.0%	39.2%	40.4%	40.5%	40.6%	40.2%	41.3%
Amortization of Intangibles, Other	(1.9)	0.7	7.6	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Interest and Other Income (Expense)	(8.9)	2.5	22.5	6.7	1.6	(9.4)	(2.2)	(8.7)	(9.1)	(29.4)	(5.4)	(5.1)	(4.8)	(4.0)	(19.3)	(20.2)
Income Before Taxes	42.9	105.1	193.2	227.6	259.0	54.6	65.2	43.0	35.0	197.9	67.7	90.7	86.6	94.3	339.3	485.0
% of revenues	10%	18%	28%	29%	29%	21%	23%	14%	11%	17%	19%	22%	18%	18%	19%	20%
Provision (Benefit) for Income Taxes	1.3	3.9	32.8	36.4	41.4	8.7	10.4	6.9	5.6	31.7	10.8	14.5	13.9	15.1	54.3	77.6
% Tax Rate	3.0%	3.7%	17.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%
Net income	**41.6**	**101.2**	**160.3**	**191.2**	**217.5**	**45.9**	**54.8**	**36.1**	**29.4**	**166.2**	**56.8**	**76.2**	**72.8**	**79.2**	**285.0**	**407.4**
Net margin	**10%**	**18%**	**23%**	**24%**	**24%**	**18%**	**19%**	**12%**	**9%**	**14.1%**	**16%**	**18%**	**15%**	**15%**	**16%**	**17%**
Pro Forma EPS - Operating[1]	**$0.36**	**$0.86**	**$1.58**	**$1.91**	**$2.13**	**$0.42**	**$0.45**	**$0.29**	**$0.23**	**$1.37**	**$0.44**	**$0.59**	**$0.56**	**$0.61**	**$2.19**	**$3.07**

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: Revenue Drivers

($ millions, Except Per-Share Data)	FY22	FY23	FY24	FY25	Mar-26 1Q26	Jun-26 2Q26	Sep-26 3Q26E	Dec-26 4Q26E	FY26E	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	FY27E	FY28E
ARR															
ARR	**652**	**723**	**820**	**970**	**1,032**	**1,125**	**1,228**	**1,316**	**1316**	**1,421**	**1,650**	**1,892**	**2,139**	**2139**	**2697**
YoY	36%	11%	13%	18%	22%	29%	34%	36%	36%	38%	47%	54%	63%	63%	26%
QoQ					6%	9%	9%	7%		8%	16%	15%	13%		
Net New ARR QoQ	**173**	**72**	**96**	**150**	**62**	**93**	**103**	**87**	**346**	**105**	**230**	**242**	**247**	**824**	**557**
YoY			35%	56%	169%	191%	136%	71%	131%	70%	147%	134%	183%	138%	-32%
QoQ					22%	50%	11%	-15%		20%	118%	5%	2%		
Total Revenue															
Revenue	**576.3**	**692.9**	**780.6**	**901.4**	**257.9**	**281.2**	**307.0**	**328.9**	**1,175.0**	**355.2**	**412.6**	**473.1**	**534.8**	**1,775.7**	**2,420.0**
YoY %	34.5%	20.2%	12.7%	15.5%	22.4%	28.6%	33.7%	35.7%	30.3%	37.7%	46.7%	54.1%	62.6%	51.1%	36.3%
YoY $	147.8	116.6	87.7	120.8	47.2	62.5	77.4	86.5	273.6	97.3	131.4	166.1	206.0	600.7	644.2
QoQ %					6%	9%	9%	7%		8%	16%	15%	13%		

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: Balance Sheet

($ millions, Except Per-Share Data)	FY21	FY22	FY23	FY24	FY25	Mar-26 1Q26	Jun-26 2Q26	Sep-26 3Q26E	Dec-26 4Q26E	FY26E	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	FY27E	FY28E
Assets																
Cash and Cash Equivalents	1,713.4	140.8	317.2	428.4	254.5	741.4	767.0	1,128.6	1,166.8	1,166.8	1,212.1	1,243.4	1,349.5	1,459.5	1,459.5	1,901.2
Marketable Securities		723.5	94.5	0.0	0.0		-	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Accounts Receivables, net	39.6	53.8	62.2	72.5	90.9	105.5	115.0	151.4	180.2	180.2	141.3	191.4	207.4	269.6	269.6	339.8
Prepaids and Other Current Assets	17.1	27.9	29.0	40.8	81.6	97.5	135.6	123.1	149.4	149.4	222.1	252.6	272.4	254.4	254.4	335.8
Total Current Assets	**1,770.1**	**946.0**	**503.0**	**541.7**	**427.0**	**944.3**	**1,017.6**	**1,403.1**	**1,496.4**	**1,496.4**	**1,575.6**	**1,687.4**	**1,829.3**	**1,983.5**	**1,983.5**	**2,576.8**
Property and Equipment, net	249.6	273.2	305.4	432.5	589.1	753.9	1,049.3	1,039.5	1,022.6	1,022.6	1,018.0	1,018.4	1,005.6	985.9	985.9	926.7
Intangible Assets, net	42.9	118.9	140.2	117.7	99.5	97.7	93.4	95.5	97.7	97.7	99.8	102.0	104.1	106.3	106.3	114.9
Other Assets	38.4	477.5	512.4	547.0	722.1	774.6	962.7	962.7	962.7	962.7	962.7	962.7	962.7	962.7	962.7	962.7
Total Assets	**2,101.0**	**1,815.6**	**1,461.0**	**1,639.0**	**1,837.7**	**2,570.4**	**3,123.1**	**3,500.8**	**3,579.4**	**3,579.4**	**3,656.2**	**3,770.6**	**3,901.7**	**4,038.5**	**4,038.5**	**4,581.2**
Liabilities																
Accounts Payable	12.7	21.1	4.0	54.6	38.8	31.9	10.4	33.6	62.4	62.4	61.8	69.5	83.7	95.7	95.7	152.7
Accrued expenses and other current liabiliti	31.9	81.4	31.0	38.2	42.7	56.5	70.9	68.0	79.4	79.4	90.1	105.1	133.1	162.1	162.1	194.8
Deferred Revenue	4.8	5.6	5.3	5.4	5.9	6.3	53.0	57.9	62.0	62.0	67.0	77.8	89.2	100.9	100.9	127.2
Short-Term Debt	0.0	0.0	0.0	0.0	325.1	311.3	311.7	311.7	311.7	311.7	311.7	311.7	311.7	311.7	311.7	311.7
Other Current Liabilities	8.8	57.4	152.3	122.8	207.0	241.0	330.1	330.1	330.1	330.1	330.1	330.1	330.1	330.1	330.1	330.1
Total Current Liabilities	**58.2**	**165.5**	**192.6**	**221.0**	**619.5**	**647.0**	**776.1**	**801.3**	**845.7**	**845.7**	**860.8**	**894.2**	**947.8**	**1,000.5**	**1,000.5**	**1,116.5**
Long-Term Debt	0.0	0.0	1,477.8	1,485.4	970.7	608.5	609.4	921.1	921.1	921.1	921.1	921.1	921.1	921.1	921.1	921.1
Finance lease liabilities and equipment financing obligations, long-term					99.1	208.2	447.9	447.9	447.9	447.9	447.9	447.9	447.9	447.9	447.9	447.9
Other Liabilities	1,464.6	1,602.5	104.2	135.6	177.2	219.4	358.9	358.9	358.9	358.9	358.9	358.9	358.9	358.9	358.9	358.9
Total Liabilities	**1,522.8**	**1,768.1**	**1,774.7**	**1,842.0**	**1,866.4**	**1,683.0**	**2,192.3**	**2,529.1**	**2,573.5**	**2,573.5**	**2,588.6**	**2,622.1**	**2,675.7**	**2,728.4**	**2,728.4**	**2,844.4**
Total Stockholders' Equity	**578.2**	**47.6**	**(313.7)**	**(203.0)**	**(28.7)**	**887.4**	**930.7**	**971.6**	**1,005.9**	**1,005.9**	**1,067.5**	**1,148.5**	**1,226.1**	**1,310.1**	**1,310.1**	**1,736.8**
Total Liabilities and Stockholders' Equity	**2,101.0**	**1,815.6**	**1,461.0**	**1,639.0**	**1,837.7**	**2,570.4**	**3,123.1**	**3,500.8**	**3,579.4**	**3,579.4**	**3,656.2**	**3,770.6**	**3,901.7**	**4,038.5**	**4,038.5**	**4,581.2**

Source: Company data, Morgan Stanley Research estimates

Exhibit 7: Cash Flow Statement

($ millions, Except Per-Share Data)	FY21	FY22	FY23	FY24	FY25	Mar-26 1Q26	Jun-26 2Q26	Sep-26 3Q26E	Dec-26 4Q26E	FY26E	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	FY27E	FY28E
Net Income	**(19.5)**	**(27.8)**	**19.4**	**84.5**	**259.3**	**15.8**	**35.4**	**9.1**	**9.9**	**70.2**	**35.7**	**51.7**	**44.7**	**47.5**	**179.5**	**295.0**
Depreciation and Amortization	88.4	102.2	117.9	130.1	137.4	45.5	51.2	66.7	77.7	241.0	66.2	70.9	100.4	118.6	356.1	493.6
Stock Compensation Expenses	61.6	105.8	88.3	90.5	80.3	22.5	32.7	27.0	19.5	101.7	21.1	24.5	28.1	31.8	105.5	112.4
Other Items	10.7	39.5	31.8	34.9	(116.0)	(1.9)	(11.7)	-	-	(13.6)	-	-	-	-	-	-
Changes in Working Capital	**(8.0)**	**(24.6)**	**(22.4)**	**(57.3)**	**(51.4)**	**(34.9)**	**2.3**	**1.3**	**(10.7)**	**(42.0)**	**(18.8)**	**(47.1)**	**17.8**	**8.5**	**(39.6)**	**(35.6)**
Accounts Receivable	(20.7)	(26.6)	(22.7)	(26.7)	(36.2)	(18.0)	(14.2)	(36.4)	(28.8)	(97.4)	38.9	(50.0)	(16.0)	(62.2)	(89.4)	(70.2)
Prepaid Expenses and Other Assets	1.1	(1.4)	(9.6)	(12.1)	(39.3)	(15.9)	(38.0)	12.5	(26.3)	(67.7)	(72.8)	(30.5)	(19.8)	18.0	(105.0)	(81.4)
Accounts Payable and Accrued Expenses	9.3	5.5	(11.1)	7.4	12.3	(11.2)	17.7	20.3	40.2	67.1	10.2	22.6	42.2	41.1	116.0	89.7
Deferred Revenue	(0.0)	(0.3)	(0.3)	0.1	0.5	0.4	46.8	4.9	4.1	56.2	5.0	10.8	11.4	11.6	38.8	26.3
Other Items and Liabilities	2.3	(1.8)	21.2	(25.9)	11.3	9.8	(9.9)	-	-	(0.1)	-	-	-	-	-	-
Net Cash Provided by (used in) Operating	**133.1**	**195.2**	**234.9**	**282.7**	**309.6**	**46.9**	**110.0**	**104.1**	**96.4**	**357.3**	**104.2**	**100.0**	**190.9**	**206.3**	**601.5**	**865.4**
OCF Margin	*31%*	*34%*	*34%*	*36%*	*34%*	*18%*	*39%*	*34%*	*29%*	*30%*	*29%*	*24%*	*40%*	*39%*	*34%*	*36%*
Capital Expenditures	(97.1)	(106.4)	(119.3)	(178.2)	(129.1)	(40.0)	(41.6)	(48.6)	(52.0)	(182.2)	(52.7)	(61.0)	(74.8)	(84.6)	(273.2)	(371.4)
Addition of Capitalized Software Expense	(6.4)	(8.9)	(5.5)	(8.4)	(10.8)	(4.7)	(7.0)	(8.2)	(8.8)	(28.8)	(8.9)	(10.3)	(12.7)	(14.3)	(46.3)	(62.9)
Acquisition of equipment under financing arrangement					(126.8)	(11.8)	(39.7)	-	-	(51.5)	-	-	-	-	-	-
Purchases of Intangibles	(5.6)	(4.9)	-	-	(1.8)	-	(0.8)	(2.2)	(2.2)	(5.1)	(2.2)	(2.2)	(2.2)	(2.2)	(8.6)	(8.6)
Other Investing Activities	(4.5)	(1,027.9)	526.0	91.7	0.2	(4.0)	-	-	-	(4.0)	-	-	-	-	-	-
Net Cash Provided by (used in) Investing	**(113.6)**	**(1,148.2)**	**401.2**	**(94.8)**	**(268.3)**	**(60.6)**	**(89.1)**	**(59.0)**	**(63.0)**	**(271.6)**	**(63.8)**	**(73.5)**	**(89.7)**	**(101.1)**	**(328.0)**	**(443.0)**
(Repayment) / Proceeds from Debt and De	(263.2)	(1.5)	-	-	(22.2)	(380.0)	-	311.7	-	(68.3)	-	-	-	-	-	-
Proceeds from Equity Issuance / Other	1,856.6	(608.8)	(468.9)	(76.4)	(194.7)	880.6	4.8	4.8	4.8	895.0	4.8	4.8	4.8	4.8	19.2	19.2
Net Cash Provided by (used in) Financin	**1,593.4**	**(610.4)**	**(468.9)**	**(76.4)**	**(216.9)**	**500.6**	**4.8**	**316.5**	**4.8**	**826.7**	**4.8**	**4.8**	**4.8**	**4.8**	**19.2**	**19.2**
Exchange Rate Impact	-	(0.2)	(0.0)	(0.3)	1.8	(0.1)	0.0	-	-	(0.1)	-	-	-	-	-	-
Change in Cash and Cash Equivalents a	**1,612.9**	**(1,563.6)**	**167.2**	**111.2**	**(173.8)**	**486.9**	**25.7**	**361.6**	**38.2**	**912.3**	**45.3**	**31.3**	**106.0**	**110.0**	**292.7**	**441.7**
Change in Cash due to restatements	**0.0**	**(9.0)**	**9.1**	**-**	**-**											
Cash & Restricted Cash, Beginning of P	**100.5**	**1,713.4**	**140.8**	**317.0**	**428.3**	**254.5**	**741.4**	**767**	**1,129**	**254**	**1,167**	**1,212**	**1,243**	**1,349**	**1,167**	**1,460**
Cash & Restricted Cash, end of Period	**1,713.4**	**140.8**	**317.0**	**428.3**	**254.5**	**741.4**	**767.0**	**1,129**	**1,167**	**1,167**	**1,212**	**1,243**	**1,349**	**1,460**	**1,460**	**1,901**

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

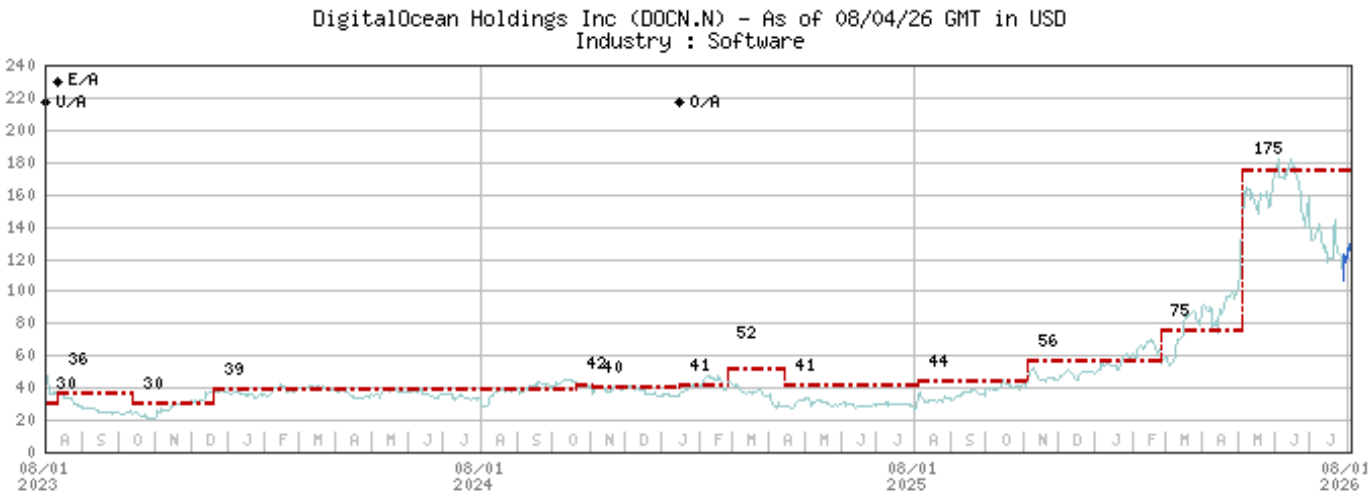
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 8/1/21 : E/A; 7/11/22 : U/A; 8/11/23 : E/A; 1/16/25 : O/A

Price Target History: 4/19/21 : 50; 8/6/21 : 60; 10/22/21 : 92; 11/4/21 : 100; 1/25/22 : 72; 2/24/22 : 67; 5/4/22 : 61; 7/11/22 : 45; 10/20/22 : 41; 11/8/22 : 28; 2/17/23 : 30; 8/11/23 : 36; 10/13/23 : 30; 12/21/23 : 39; 10/21/24 : 42; 11/4/24 : 40; 1/16/25 : 41; 2/25/25 : 52; 4/15/25 : 41; 8/5/25 : 44; 11/5/25 : 56; 2/25/26 : 75; 5/5/26 : 175

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/03/2026)
Adam Wood		
Adobe Inc. (ADBE.O)	U (07/21/2026)	$251.34
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	$103.71
Intuit (INTU.O)	E (07/21/2026)	$318.39
Microsoft (MSFT.O)	O (07/21/2026)	$487.65
Salesforce, Inc. (CRM.N)	E (07/21/2026)	$185.95
Samsara Inc (IOT.N)	E (03/23/2023)	$37.13
ServiceNow Inc (NOW.N)	O (09/24/2025)	$114.19
Shopify Inc (SHOP.O)	O (04/19/2024)	$117.01
Workday Inc (WDAY.O)	U (07/21/2026)	$165.05
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	$47.22
Blackline Inc (BL.O)	E (07/21/2026)	$32.78
Box Inc (BOX.N)	E (05/21/2024)	$31.70
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	$6.30
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	$76.59
DocuSign Inc (DOCU.O)	E (01/16/2024)	$55.13
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	$187.24
Navan Inc (NAVN.O)	O (11/24/2025)	$27.48
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	$83.37
SPS Commerce Inc (SPSC.O)	U (07/21/2026)	$75.54
Vertex Inc. (VERX.O)	E (07/21/2026)	$13.40
Via Transportation Inc (VIA.N)	O (01/20/2026)	$21.08
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	$9.52
Asana Inc (ASAN.N)	U (05/20/2025)	$8.53
Autodesk (ADSK.O)	O (08/23/2024)	$234.71
Figma Inc (FIG.N)	E (08/25/2025)	$24.92
Five9 Inc (FIVN.O)	E (10/10/2022)	$28.95

Freshworks Inc (FRSH.O)	E (10/18/2021)	$11.77
GoDaddy Inc (GDDY.N)	E (07/19/2021)	$88.45
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	$239.92
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	$18.10
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	$37.89
monday.com Ltd (MNDY.O)	O (08/12/2025)	$88.92
NICE Ltd. (NICE.O)	E (07/21/2026)	$100.65
RingCentral Inc (RNG.N)	E (08/08/2023)	$57.30
Sprinklr Inc (CXM.N)	E (07/19/2021)	$6.52
Sprout Social Inc (SPT.O)	E (11/17/2020)	$8.55
Toast, Inc. (TOST.N)	O (12/16/2021)	$32.79
Twilio Inc (TWLO.N)	O (02/24/2025)	$196.59
Wix.Com Ltd (WIX.O)	E (07/21/2026)	$56.84
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	$22.56
Zoom Communications (ZM.O)	E (10/11/2022)	$98.25
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	$3.57
Meryl R Thomas, CFA		
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	$10.27
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	$122.97
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	$202.54
Fortinet Inc. (FTNT.O)	E (07/21/2026)	$163.21
Gen Digital Inc. (GEN.O)	E (06/07/2024)	$28.17
Netskope, Inc. (NTSK.O)	O (10/13/2025)	$13.36
Okta, Inc. (OKTA.O)	O (12/02/2024)	$141.57
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	$347.13
Qualys Inc (QLYS.O)	U (02/09/2021)	$154.89
Rapid7 Inc (RPD.O)	U (07/21/2026)	$10.18
SailPoint Inc (SAIL.O)	O (09/02/2025)	$17.20
SentinelOne, Inc. (S.N)	E (12/02/2024)	$20.05
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	$34.97
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	$41.18
Zscaler Inc (ZS.O)	E (04/22/2026)	$154.46
Ryan Lountzis		
CoreWeave (CRWV.O)	E (04/22/2025)	$85.76
Nebius Group NV (NBIS.O)	E (01/15/2026)	$212.58
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	$117.88
Appian Corp (APPN.O)	E (04/30/2026)	$27.71
C3.ai (AI.N)	U (01/04/2021)	$9.73
Cloudflare Inc (NET.N)	O (12/02/2024)	$282.74
Datadog, Inc. (DDOG.O)	O (01/12/2026)	$273.60
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	$127.17
Dynatrace Inc (DT.N)	E (02/13/2024)	$44.54
Elastic NV (ESTC.N)	E (07/21/2026)	$68.74
GitLab Inc (GTLB.O)	E (01/12/2026)	$35.59
JFrog Ltd. (FROG.O)	E (07/21/2026)	$82.40
MongoDB Inc (MDB.O)	O (04/12/2023)	$357.97
Oracle Corporation (ORCL.N)	E (01/15/2019)	$141.85
PagerDuty, Inc. (PD.N)	U (07/21/2026)	$11.10
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	$125.65
Snowflake Inc. (SNOW.N)	O (06/24/2025)	$307.53
UiPath Inc (PATH.N)	E (09/07/2022)	$13.05

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